

DVARA VENTURE STUDIO

**REDEFINING
FINANCIAL INCLUSION
IN INDIA**







- **Untapped Whitespace:** India has vast unmet financial needs among rural, informal, and unbanked populations. Conventional banks often overlook these groups, leaving a **large inclusion gap**.

■ **Significant Gaps:**

486M Jan Dhan accounts, but usage and service quality remain poor	₹13LCr microfinance demand in FY24 shows a 70% credit gap.	3.7% Insurance penetration at just 3.7% (Life: 2.8%, Non-life: 1%)	16% of MSME debt need (₹69.3T) met by formal lenders.	28% of farmers accessed formal credit due to complex procedures, distance, lack of awareness, and documentation hurdles.
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- **Why a Venture Studio:** Addressing these gaps requires professional risk-taking and a promoter’s mindset. Traditional players are wary of untested markets, so a new approach is needed to unlock these opportunities.

Source: (BT), (ET), (IFC), (Nabard)

Longer Cycles: Mainstream investors often seek quick returns and avoid nascent, high-risk markets. Financial inclusion startups face long validation cycles and can't thrive under short-term pressure.

Patient, Zero-Stage Funding: Innovations for the underserved require patient capital from day zero – funding that supports iterative learning and long development horizons. Venture studios fill this role by providing zero-stage seed funding with no immediate profit expectations.

Venture Studio Solution: A venture studio commits early with high conviction. It absorbs more risk and accepts longer payback periods, allowing entrepreneurs to experiment, undertake frequent iterations, pivot, and refine solutions. This nurtures ideas that would not survive under conventional metrics.

Need for Patient Capital



Opportunity for Innovation

- **Studio Model Advantages:** The venture studio model – combining early high-conviction investment, hands-on co-creation, and patient risk capital – is ideal for tackling underserved markets. A venture studio can systematically build solutions in areas others overlook.
- **Focus Sectors:** A venture studio targets high-impact niches such as tailored rural credit, agri-insurance, health finance, fintech tools for low-income households etc. These sectors have huge demand but are not fully addressed by mainstream investors, making them ripe for innovation.
- **Calculated Risk-Taking:** By actively building companies, venture studios can pursue bold ideas (e.g. companies that cater to creating new lending models for farmers or gig workers) with a deliberate approach. This promoter-style risk-taking is necessary to unlock breakthrough innovations.



- **17 Years Exclusive Focus:** Dvara has been dedicated to financial inclusion for over 17 years, developing unparalleled expertise in this domain. The Dvara Venture Studio (DVS) takes a hands-on role in venture creation right from the start.
- **Promoter-Style Engagement:** The studio plays the role of promoter, operator, and investor all in one. DVS teams up with founders from ideation through scale, ensuring strategic alignment and steady support.
- **Building vs. Funding:** This approach means DVS doesn't just invest in companies, it actively builds them alongside founders. The result: ventures that are deeply mission-aligned and structurally sound. Each startup benefits from Dvara's guidance on strategy, operations, and governance from day one.
- **Outcome:** The promoter-driven model creates more robust businesses with scalable, sustainable impact. DVS-born companies are better prepared to navigate challenges than typical funded startups, thanks to this intensive support.

Mission-Oriented Approach

- **Purpose at the Core:** Every DVS venture is chosen to address a **major financial inclusion challenge** – staying true to “Dvara,” meaning “access” in Sanskrit. The mission is to open doors of financial access for underserved communities.
- **Ecosystem Impact:** DVS doesn’t aim for isolated success; each startup is designed to **reshape the ecosystem** around its niche. Solutions are built to be equitable and transformative, creating ripples of change that uplift entire communities.
- **Profit with Purpose:** The studio’s mantra is that **social impact and profitability** go hand-in-hand. By solving real problems for low-income households, DVS companies achieve commercial success and measurable social improvements.



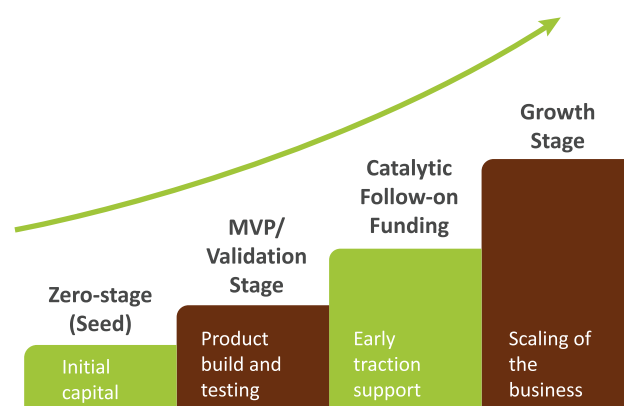
Entrepreneur-in-Residence (EIRs) Collaboration

Partnering with EIRs: DVS brings on **Entrepreneurs-in-Residence** – talented professionals with deep domain expertise and alignment with Dvara’s values and mission. These EIRs either pitch innovative solutions or co-create new ventures with the studio.

Co-Creation Model: An EIR works hand-in-hand with DVS, tapping into its network and support while leading the venture’s development. This allows a dynamic where DVS’s experience complements the EIR’s fresh ideas and sector knowledge.

Ecosystem Support: EIR-led ventures get immediate access to Dvara’s resources – mentorship, research insights, contacts – that would normally take years to cultivate. This dramatically accelerates the startup’s progress.

Nature of Capital – Zero-Stage & Catalytic

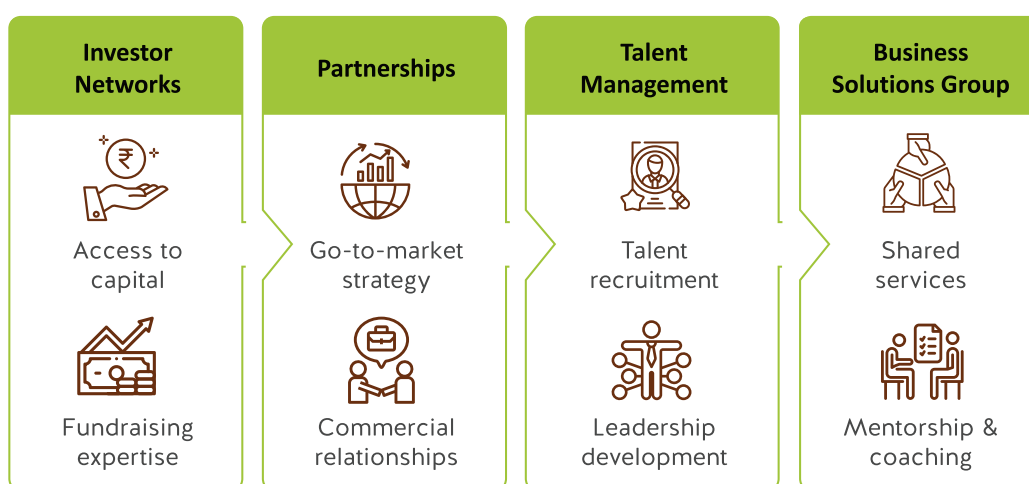


Support across Startup Stages

The studio's investment style is like a promoter's: highly risk-tolerant and willing to **bet early and double down** on promising progress. DVS is prepared for longer-term returns, prioritizing the venture's sustainable growth and impact over short-term exits.

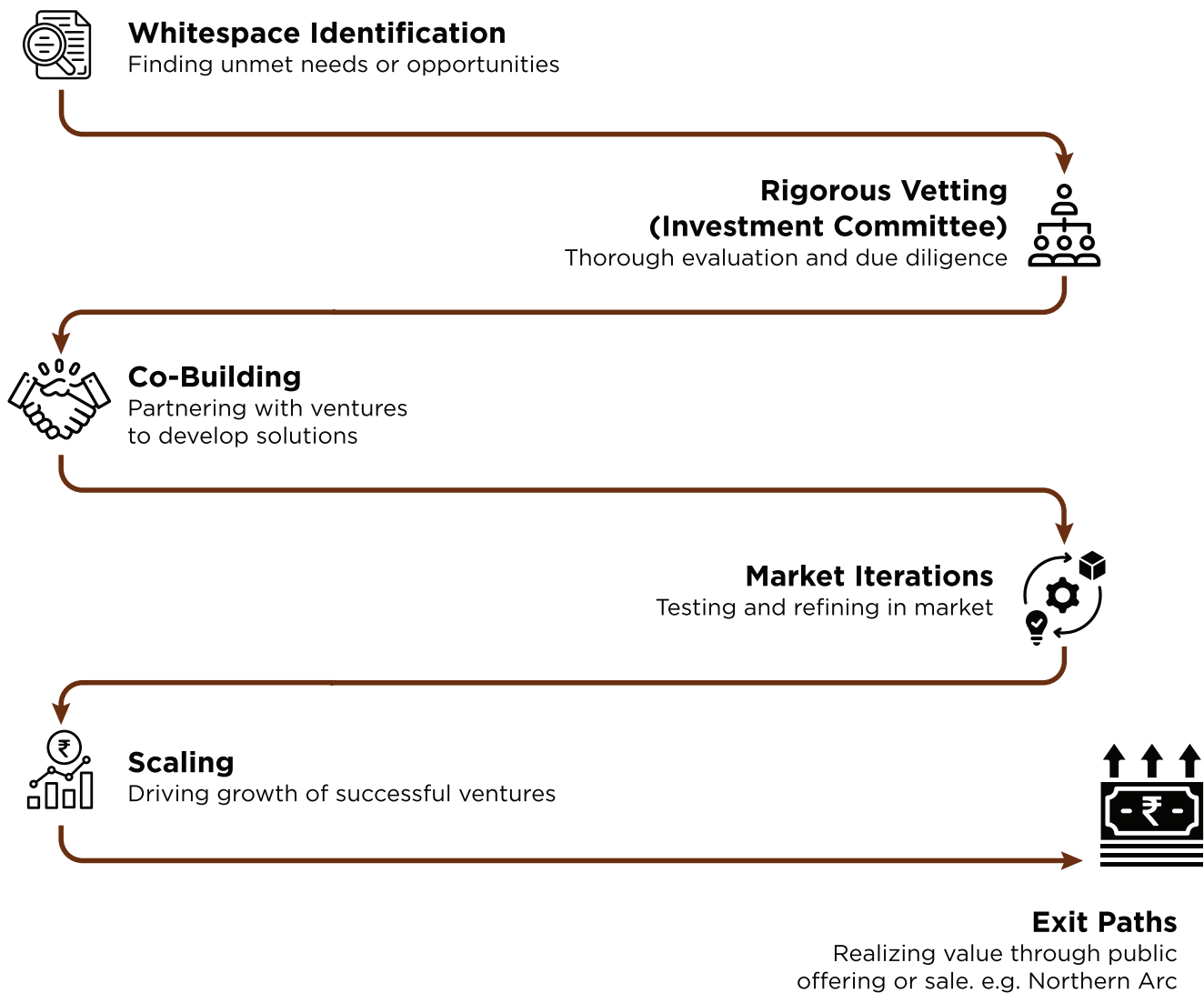
Venture Studio Services – Beyond Capital

A key feature of the Dvara Venture Studio is to constantly offer privileged access to some high impact networks to our companies.



Supporting Founders

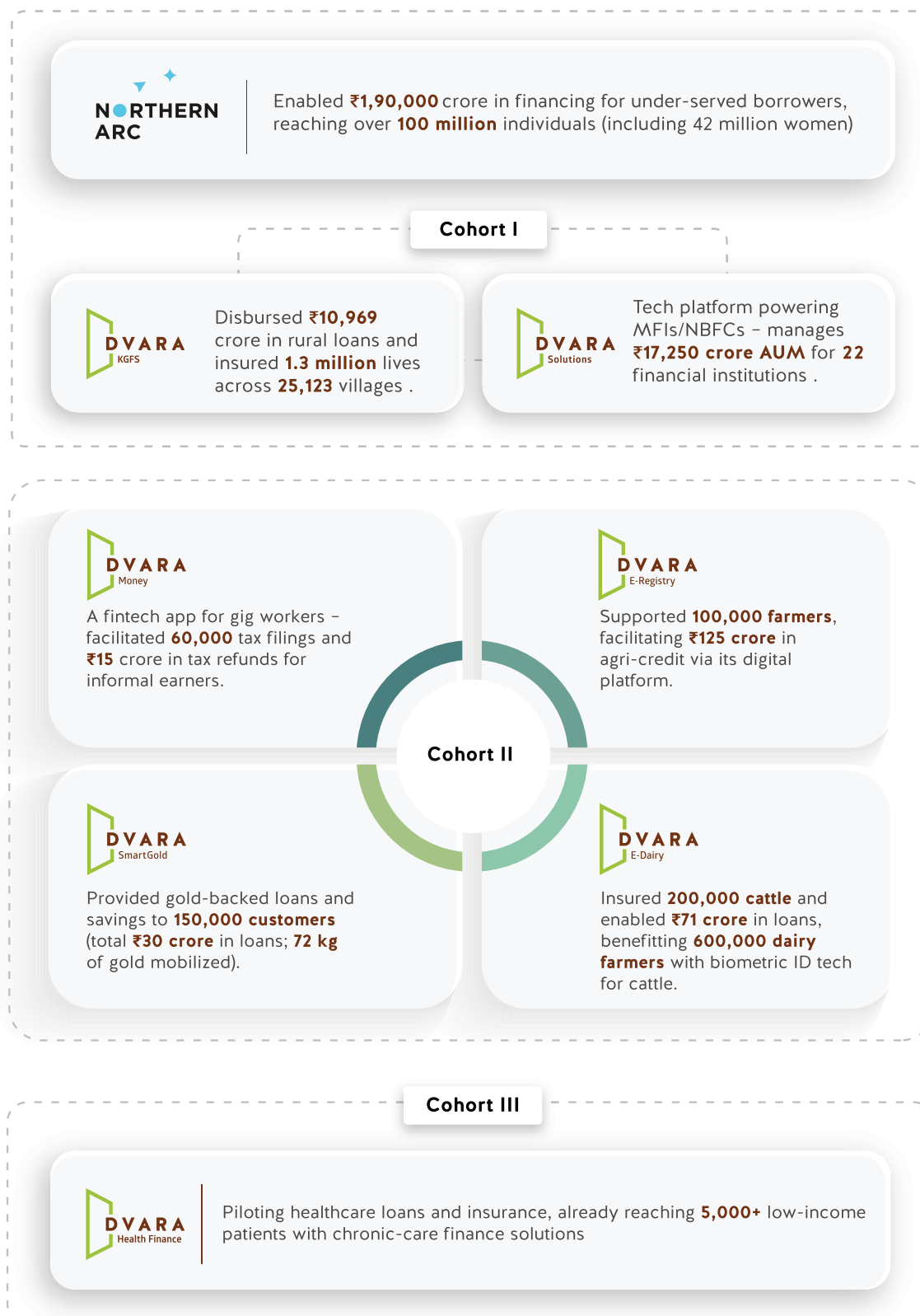
Investment Process – From Ideation to Exit



DVS follows a **disciplined, mission-aligned investment process**. Through a rolling cohort model, it constantly identifies whitespace opportunities and recruits entrepreneurs to solve them. Each idea faces **rigorous vetting** by the Investment Committee for impact, viability, and alignment. Once approved, DVS becomes an **active co-builder**, shaping ventures to scale and exit. Successes like Northern Arc's oversubscribed IPO validate this approach, ensuring both **impact and profitability** while recycling capital into new ventures.

Track Record & Impact

- **Proven Results:** Over 17 years, DVS has incubated multiple successful ventures, driving significant impact in financial inclusion.



As of Q3 FY25

- **Systemic Influence:** Beyond these ventures, **Dvara Research** works closely with policymakers (RBI, SEBI, Ministry of Finance, etc.) to drive industry-wide change. This synergy means DVS startups don't just scale in isolation; they often inform and shape policy toward greater financial inclusion.

Way Forward – Scaling the Studio Model

- **Sustainable Scaling:** The Dvara Venture Studio model has proven it can be repeated successfully – it's a **scalable engine** for mission-oriented startups. Moving forward, DVS will continue to identify new "whitespace" problems in financial inclusion and solve them by building new ventures. The approach itself is sustainable: each success replenishes funds and learnings for the next round.
- **Refining the Playbook:** With each startup, DVS gathers insights on what works in inclusive finance. These lessons form a **playbook** that makes the next venture more efficient and impactful. Over time, DVS is getting faster and better at company-building in this domain. Future entrepreneurs will benefit from 17+ years of accumulated know-how, shortening the path to product-market fit for tough markets.
- **New Frontiers:** DVS will expand into emerging areas of need – for example, building sustainable small cities model, addressing debt markets, financing solutions for climate resilience, new models for micro-insurance among others. The studio is prepared to support innovations that align with its mission, even in uncharted territories.

Vision for 2047 – Impact at National Scale

- **India@100 Goal:** By 2047 (India's 100th year of independence), Dvara Venture Studio envisions an **equitable, resilient financial system** serving all 1.4+ billion citizens. The long-term mission is to ensure that no individual or enterprise is left outside the formal financial fold. Every DVS venture contributes a piece to this puzzle – whether it's credit for all, universal micro-insurance, accessible digital finance or climate-smart enterprises.
- **Blending Profit and Purpose:** DVS will continue to demonstrate that investing in low-income communities can yield competitive financial returns while driving social progress. By 2047, the hope is that the broader investment community routinely backs "profit with purpose" businesses, making the term "impact investing" just **mainstream investing**.
- **A Portfolio of Change:** The cumulative effect of DVS by 2047 will **be a portfolio of dozens of thriving companies** that collectively have changed millions of lives. More importantly, DVS offers a replicable model – a blueprint – that others can adopt globally to solve social challenges through entrepreneurship.



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